



DELHI PUBLIC SCHOOL NEWTOWN

SESSION 2024 – 25

MONDAY TEST

CLASS: X
SUB: ECONOMIC APPLICATIONS

FULL MARKS: 40
DATE: 04-10-2024

General Instructions:

- The paper consists of two printed pages.
- Answer should be to the point.
- Copy the question number carefully before answering the questions.

SECTION A [10 MARKS]

Attempt all questions

Question1

Choose the correct answers to the questions from the given options. [10]

- (i) State regulation of monopolies is intended to: [1]
(a) Encourage monopolistic practices
(b) Prevent unfair trade practices and protect consumers
(c) Restrict market competition
(d) Increase the profitability of monopolies
- (ii) What is the full form of GST? [1]
(a) Goods and Services Trade (b) Goods and Service Tax
(c) Great Service Tax (d) Good Simple Tax
- (iii) Gift Tax and Wealth Tax are examples of: [1]
(a) Direct Tax (b) Indirect Tax
(c) Toll Tax (d) All of these
- (iv) Which of the following is not concerned with fiscal policy? [1]
(a) Public revenue (b) Public expenditure
(c) Public debt (d) Inflation
- (v) Monetary policy is the policy of the Government which operates through the monetary variables like regulation of money supply by the monetary authority. [1]
(a) True (b) False
- (vi) Fiscal deficit occurs when: [1]
(a) Government revenue exceeds its expenditure (b) Government expenditure exceeds its revenue
(c) The government collects more taxes than planned (d) The government reduces its borrowing
- (vii) How can reduction in taxes help to combat recession? [1]
(a) By increasing the overall tax revenue (b) By decreasing the amount of money people have to spend
(c) By increasing consumer spending and business investment (d) By reducing government budget deficits
- (viii) Assertion (A) : Indirect taxes are regressive in nature. [1]
Reasoning (R): Indirect taxes are levied on goods and services regardless of the income level of the consumer.
(a) A is true but R is false (b) A is false but R is true
(c) Both A & R are true and R explains A (d) Both A & R are true but R does not explain A

(ix)

[2]



Examine the above image and explain the positive impact of imposing high tax rate by the Government on this harmful product.

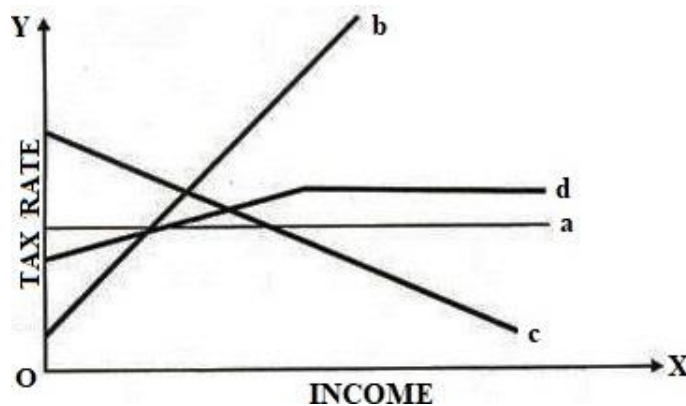
SECTION B [30 MARKS]

Attempt all questions

Question 2

- (i) What is public sector? Discuss the reasons for the poor performance of public sector enterprises. [7]

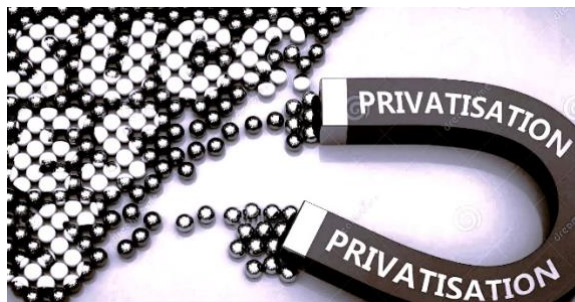
- (ii) [8]



Identify and explain the various types of taxes based on the picture given.

Question 3

- (i) [7]



What is meant by privatization? Describe any three arguments in favour of privatization of the public sector enterprises in India.

- (ii) Read the extract given below and answer the questions. [8]

The task of reviewing the Income Tax Act of 1961 will be completed in the given timeframe of six months, CBDT Chairman Ravi Agrawal said on Wednesday. Union Finance Minister Nirmala Sitharaman, in her Budget speech last month, had announced that the direct tax law of the country would be reviewed to make it simple and the task would be completed in six months.

Source: The Economic Times, 21st August, 2024

- (a) What is meant by direct tax?
(b) Explain two merits and two demerits of direct tax.